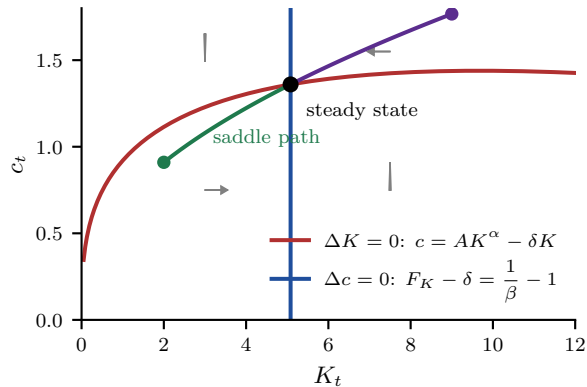


$$Q2(d) \text{ --- } \beta = 0.96, \sigma = 2, \alpha = 0.35, \delta = 0.08, A = 1$$

(i) the two loci and the unique convergent path



(ii) both rise monotonically to the steady state

